

2-4a Democracy

Democracy (A political system in which citizens elect representatives to govern the country on their behalf.)

is a political system in which citizens elect representatives to govern the country on their behalf. Democracy was pioneered by Athens in ancient Greece. In today's world, Britain has the longest experience of running a democracy (since the founding of its Parliament in the 1200s), and India has the largest democracy (by population).

One fundamental aspect of democracy that is relevant to global business is an individual's right to freedom of expression and organization. For example, starting up a firm is an act of economic expression, essentially telling the rest of the world: "I want to be my own boss! And I want to make some money!" In most modern democracies, this right to organize economically has been extended not only to domestic individuals and firms, but also to *foreign* individuals and firms that come to do business. While those of us fortunate enough to be brought up in a democracy take for granted the right to found a firm, we should be reminded that this may not necessarily be the case under other political systems. Before the 1980s, if someone had dared to formally found a firm in the former Soviet Union, he or she would have been arrested and *shot* by the authorities.